Order Execution Policy

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Definitions

Client: Any individual or entity holding a trading account with Amber Rock Trade Ltd.

Company: Amber Rock Trade Ltd and its affiliates, employees or agents

Order: An instruction submitted by a client to buy or sell a financial instrument.

Execution Venue: Authorized entities, such as exchanges, brokers, liquidity providers, or internal matching engines, where client orders are executed.

Total Consideration: The overall cost of executing an order, including the price of the instrument, commissions, fees, and any other costs directly related to execution.

Best Execution: The process of taking all reasonable steps to achieve the most favorable outcome for the client when executing orders, considering price, costs, speed, likelihood of execution, and other relevant factors.

Slippage: The difference between the requested execution price and the actual execution price. Positive slippage occurs when the execution price is better than requested; negative slippage occurs when it is worse.

Financial Instruments: All instruments offered by the Company, including Contracts for Difference (CFDs), Foreign Exchange (FX) contracts, and other tradable products.

Market Order: An order to buy or sell a financial instrument at the current market price.

Margin: Funds required to open and maintain a leveraged position.

Leverage: The ratio of exposure to margin

Limit Order: An order to buy or sell a financial instrument at a specified price or better.

Stop Order: An order that becomes a market order once a specified stop price is reached or breached.

Good-Till-Cancelled (GTC) Order: An order that remains active until it is either executed or explicitly cancelled by the client.

Day Order: An order that expires at the end of the trading day if not executed.

Rollover : When a CFD position is kept open beyond the end of a trading day or when a futures-based CFD is moved from one contract period to the next

CFD : Contract for Difference
FX : Foreign Exchange
OTC: Over-the-Counter
Dealing Room : The Company's internal order execution function

1. OBJECTIVE

The purpose of this policy is to establish efficient processes for order execution to ensure that Clients receive the best possible outcome, while taking into account price, costs, speed, likelihood of execution, and prevailing market conditions. The Company aims to provide a transparent framework for order execution and risk disclosure, supporting clients in making informed decisions while remaining compliant with applicable regulations, including MiFID II for EU clients and other local jurisdictional rules.

2. SCOPE SECTION

This policy applies to all clients using all financial instruments and products offered by the Company, to trading conducted via the Company's platform, including web, mobile, and API access and to all jurisdictions where the Company is legally permitted to operate.

3. GENERAL EXECUTION POLICY

The Dealing Room is the primary department where this order execution policy applies. Senior Management performs an annual review and/or reviews or upon any material change it whenever significant changes occur that could affect the Company's ability to maintain the best execution for client orders through its trading platform.

In order to meet the obligation of executing orders on terms most favorable to clients and achieving optimal results based on clients' capabilities, needs, and trading strategies, the Company has developed and continues to uphold an **Order Execution Policy**.

This policy describes the process for executing trades and ensures that the Company takes all necessary steps to consistently secure the best possible results for its clients. It is important to note that if an order is executed based on specific client instructions, the Company will follow these instructions, having met its best execution obligations.

The Company ensures that all employees involved in order handling, execution, pricing, or client communication receive appropriate training to understand and comply with this Order Execution Policy.

4. Client Communication

Client may request information about how their orders are executed, including the steps taken to achieve best execution and the execution venues used. This policy is publicly available and accessible to clients through the Company's website or trading platform. Clients are encouraged to review it regularly.

5.BEST EXECUTION CRITERIA

The Company will evaluate the best execution criteria to determine the relative importance of various execution factors:

a. Characteristics of the client
b. Characteristics of the client order
c. Characteristics of the financial instruments involved
d. Characteristics of the execution venues to which the order can be directed

The best outcome will be determined based on the total consideration of on several criteria, including, but not limited to, the client's instructions, the financial instrument, the contract price and illiquid markets, execution-related costs.
The primary factor in determining the best outcome for the client and Clients acknowledge and understand that, while Amber Rock Trade Ltd is committed to providing best execution on all trades, this does not guarantee that every trade will be executed at the lowest possible price.

4. EXECUTION FACTORS

When managing client orders without specific instructions on the method of execution, the Company takes into account several execution factors:

a. Price
b. Speed and likelihood of execution
c. Costs or commissions
d. Size and nature of the order
e. Market conditions and fluctuations
f. Execution capability
g. Any other relevant considerations for executing the order

5. EXECUTION VENUES

Client orders are executed through a variety of authorized venues. These include the Company's internal liquidity pool, external brokers, providing access to broader liquidity in the market, regulated exchanges, where orders are executed under publicly available market rules and over-the-counter (OTC) counterparties, which may provide pricing and liquidity directly without the use of an exchange.

In evaluating execution quality, the Company uses several methodologies to ensure that client orders are executed on the most favorable terms available. This includes comparing the executed prices to relevant market benchmarks, as well as monitoring average spreads across multiple liquidity providers.

The Company prioritizes the factors considered in achieving best execution according to their relative importance. Price is generally the most significant factor, affecting the total consideration of an order. Speed, costs, and the likelihood of execution are also considered, but their relative importance may vary. For transparency, the Company applies the following illustrative priority when assessing execution quality: price contributes approximately 50% to the overall assessment of best execution, speed contributes 20%, costs contribute 20%, and the likelihood of execution contributes 10%.

6. SLIPPAGE

Please be aware that slippage is a possible occurrence when trading Financial Instruments. This happens when the price shown during the order placement is no longer available when the order is executed. As a result, the order may be filled at a slightly different price, either better or worse than the price requested. This is referred to as slippage, with positive slippage indicating a better price and negative slippage indicating a worse price.

Slippage is a normal part of trading, particularly during periods of low liquidity or high volatility, such as news releases, market openings, and other influential events. These situations may prevent execution at the exact price, leading to a different market price at the time of execution.

While the Company seeks to minimize slippage and execute orders at the best available market price, execution at the exact requested price cannot be guaranteed due to market conditions such as low liquidity, rapid price movements, volatility, or technical delays. The Company monitors slippage as part of its execution quality controls and to ensure fair and consistent execution practices. By trading with the Company, clients acknowledge and accept the risk of slippage.

7. SPECIFIC INSTRUCTIONS

When the client provides specific instructions on how to execute an order, and the Company agrees to them, the order will be executed according to those instructions.

However, if the client provides specific instructions, the Company's obligation to provide best execution will be fulfilled, and deviations from the normal execution policy may occur for that order.

Clients acknowledge that providing specific instructions may result in execution outcomes that differ from those that might otherwise be achieved under the Company’s best execution policy. The Company documents and retains records of all client instructions in accordance with applicable regulatory and audit requirements. Where client instructions may lead to potentially less favorable execution outcomes, the Company may issue a warning through the trading platform, electronic notification, or other appropriate means.

Given the risks and volatility in financial markets, clients may wish to explore different order types to manage their risk and investment strategies.

The Company may provide a warning through on-screen platform notifications, pop-up messages, electronic confirmations, or other appropriate communication channels before or at the time of execution.

**It's important to note that the following order types may apply to some financial instruments, but not all.*

8. TYPES OF ORDERS

Due to the risks and volatility in financial markets, clients might benefit from using different order types to manage their investments and risks. Please note that the following order descriptions may apply only to certain financial instruments and understanding the nature, duration, and associated risks of each order type is essential for informed trading.

1. **Market Order:**

   a) A market order instructs a financial institution to execute a trade as quickly as possible at the current market price.
   b) Financial institutions are required to execute market orders without regard for price fluctuations. Consequently, if the market price changes during order fulfillment, the execution may occur at a different price than initially requested.
   c) The execution price may be better, worse, or the same as the requested price.

2. **Limit Order:**
   a) A limit order specifies the maximum price to buy or minimum price to sell at which the client wants the trade executed.
   b) Since a limit order can be placed away from the current market price, it may not be executed immediately.
   c) Clients should be aware that using limit orders means relinquishing the certainty of immediate execution and may result in re-quotes or rejections if the market price changes during order fulfillment.

3. **Stop Order:**
   a) A stop order allows buying above the current market price or selling below the current market price once the stop price is reached or breached.
   b) The stop order remains pending until the stop price is hit, at which point it becomes a market order and is filled at the best available market price.
   c) It's important to note that the execution price may differ from the originally set price, which can result in **slippage**.
4. **Good-Till-Cancelled (GTC) orders:**
   An Order that remains active until executed or explicitly cancelled

5. **Day Orders:**
   An Order which expires at the end of the trading day if not executed.

Clients are strongly encouraged to fully understand the characteristics, risks, and mechanics of each order type before trading and to consult available Company resources or support services for guidance if needed.

9. PRICING

The Company provides its own tradable prices, sourced from independent price providers selected for their reliability, transparency, and regulatory standing. To ensure clients receive the best execution, the Company primarily references and compares these prices with multiple price providers and data sources to ensure competitiveness and accuracy. While the Company takes all reasonable steps to ensure the best possible outcome for clients, there is no guarantee that the price provided when executing an order will be more favorable than that available elsewhere. The Company reviews its independent price providers annually to ensure accurate and competitive pricing.

10. ORDER SIZE

Orders are placed based on monetary value. Clients can place orders as long as there is sufficient balance in their trading account. Large orders may result in less favorable prices due to the liquidity provided by price feeds and may experience slippage or partial fills when market liquidity is insufficient. The Company has internal procedures in place to manage large or unusual orders to ensure fairness and adherence to best execution standards.

11. ORDER SPEED

Prices fluctuate continuously over time, and the frequency of these fluctuations varies by financial instrument and market conditions. Execution speed can be affected by client technology, including internet connection quality and device performance. The Company monitors system latency and takes measures to optimize execution speed; however, technical delays may occur, and as a result, orders may be executed at prices different from those anticipated. Clients acknowledge their responsibility to ensure reliable access to the trading platform and accept the risk that technical or connectivity issues may impact order execution.

12. ORDER EXECUTION PROBABILITY

Due to the volatility of the underlying instrument's price, the Company aims to facilitate the fastest possible execution of client orders. However, market conditions may prevent immediate execution, particularly in illiquid instruments, during market closures, or in periods of extreme volatility. Clients acknowledge that such factors may result in delays and that execution may occur at a different price than initially intended.

13. ORDER SETTLEMENT PROBABILITY

The Company will proceed with settlement of all transactions upon execution or at the time of expiration of the specific transaction. Standard settlement timelines vary by instrument type and may be affected by market conditions, holidays, or operational delays. Settlement is subject to counterparty and market risks, and clients acknowledge that these factors may impact the timing and finality of transactions.

14. MARKET IMPACT

The Company's quoted prices, derived from independent price providers, may be influenced by various factors that could impact the execution factors, including the size and nature of client orders, which may affect prices for illiquid instruments. The Company takes all necessary measures to minimize adverse effects on clients and monitors market impact to ensure that execution remains fair, consistent, and aligned with best execution obligations.

15. **ROLL OVER AND CONTRACT EXPIRY**

There are two common meanings:

a) Overnight Rollover (Financing)

- If you hold a CFD position **overnight**, your broker applies a **financing charge or credit**.
- This reflects the cost of borrowing (for long positions) or lending (for short positions).
- It is usually applied daily, often at a specific time (e.g., 10pm or midnight platform time).

Example:

- You buy a CFD on shares and hold it overnight.
- The broker charges a small financing fee each day until you close the trade.

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b) Futures Contract Rollover

- Some CFDs are based on **futures contracts** (e.g., oil, indices, commodities).
- Futures contracts have **expiry dates**.
- When the current contract is about to expire, the broker **rolls your position** into the next contract.

What happens during a rollover:

- Your open position is closed at the old contract price.
- A new position is opened at the next contract's price.
- The price difference is adjusted so your **profit or loss stays the same**.
- You remain in the market without interruption.

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2. What Is a Contract Ending in CFD Trading?

A **contract ending** means the CFD reaches its **expiry date**, and trading on that contract stops.

What happens at contract end depends on the broker:

a) Automatic Closure

- The broker automatically closes your position at the final price.
- Your profit or loss is realized.
- No further exposure to that market unless you open a new trade.

b) Manual Closure Required

- Some brokers require you to close the trade yourself before expiry.
- If you don’t, they may close it for you at market price.

c) Rollover Instead of Ending

- In some cases, the broker offers an **automatic rollover** into the next contract.
- This avoids the position ending but may involve price adjustments.

16. CONCLUSION

Clients are provided with relevant information regarding the Company’s Order Execution Policy with relevant information regarding the and are required to acknowledge and accept the policy, including the possibility that specific instructions may override normal execution procedures. The Company maintains records of all client consents and policy acknowledgments to ensure compliance with regulatory requirements. Clients will be notified promptly of any significant updates to the policy, through email, platform notifications, or other appropriate means. This Order Execution Policy is designed to comply with applicable laws and regulations, and comprehensive information regarding the factors considered when executing client orders is made available to clients. The Company regularly reviews the policy to ensure clients are informed of any material changes in a timely manner.